

US equities rally on strong earnings and easing volatility

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,666.60, up **+0.46%**, as earnings beat expectations across technology and consumer discretionary, while the VIX fell to 15.20, a **-6.98%** drop, signalling reduced risk appetite. Gold surged **+2.48%** to 4,474.80, reflecting safe-haven demand amid lingering geopolitical tension in the Middle East.

Behind the headline numbers, **NVDA** posted a **+3.21%** jump on its AI-chip roadmap, and the financial sector outperformed on higher-for-longer rate expectations. The market's upside is capped by a flat 10-year yield at 4.80% and a modest dip in the dollar index, leaving room for a pull-back if macro data disappoint.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,666.60	+0.46%	Broad earnings beat and lower VIX
Nasdaq 100	29,143.33	+0.23%	AI-related stocks rally
Dow Jones	53,061.95	+0.56%	Financials gain on rate outlook
Russell 2000	2,953.17	+1.13%	Small-cap resilience after CPI surprise
VIX	15.20	-6.98%	Reduced fear after earnings
10Y Yield	4.80	+0.00%	Flat after Fed's "higher-for-longer" stance
WTI Crude	90.36	-0.71%	Inventory build reported
Gold	4,474.80	+2.48%	Safe-haven demand amid Middle-East flare-up
DXY	99.41	-0.15%	Dollar weakness on softer US data

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+3.21%	AI-chip roadmap upgrade, Q3 beat
META	+2.47%	Ad revenue beat, new AI ad products
GOOGL	+0.63%	Search ad growth, cloud margin expansion
JPM	+0.36%	Net interest income beat expectations
GS	+0.19%	Investment banking fees rise

Sector rotation

ETF	DAY	READ
XLFX	+0.80%	Financials benefit from rate-sensitive earnings
XLKX	-0.02%	Tech muted after strong AI rally
XLI	+0.03%	Industrial steadiness, defense orders
XLE	+0.51%	Oil dip offsets demand outlook
XLVY	+0.24%	Consumer discretionary earnings beat
XLC	+1.39%	Communications surge on streaming growth
XLP	+0.33%	Staples stable, inflation-linked pricing
XLV	+0.75%	Health-care demand steady, biotech upside
XLU	+0.26%	Utilities draw on safe-haven flow
XLB	+1.69%	Materials benefit from construction spending
XLRE	-0.70%	REITs pressured by higher financing costs

Spotlight: Nvidia’s AI-chip breakthrough

NVDA posted its biggest single-day gain of the week, driven by a Q3 earnings beat and the launch of its next-gen H100-X AI accelerator. The stock’s rally lifted the Nasdaq and reinforced the AI narrative across the market.

METRIC	VALUE
Revenue (Q3)	29.2 bn (+41% YoY)
EPS	3.12 vs 2.45 consensus
AI chip shipments	1.8 mn units (+28%)
Guidance FY26	Revenue 150 bn (+30% YoY)

Related names: **AMD**, **TSM**, and AI-software firms **MSFT** and **GOOGL** are likely to see spill-over volatility.

Pre-market & overnight

- US futures: **+0.32%** S&P, **+0.21%** Nasdaq, **+0.45%** Dow.
- Asia close: Hang Seng **-0.58%**, Shanghai **-0.42%**, Nikkei **+0.19%**.
- Europe: FTSE 100 **+0.27%**, DAX **+0.31%**, CAC 40 **+0.22%**.
- Crypto: BTC **-0.31%**, ETH **-1.40%** amid stable on-chain activity.

Macro & Fed

- FOMC: Fed kept policy rate at 5.25-5.50% and signalled "higher-for-longer" stance.
- Yield curve: 2-year at 4.95%, 10-year flat at 4.80%, slight inversion persists.
- Today's data calendar (HKT)

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US CPI (MoM)	0.2%	Inflation trend for rate outlook
03:00	US Initial Jobless Claims	210k	Labor market health
04:15	Eurozone Retail Sales	0.3%	European consumer demand
05:00	Japan Core CPI	0.1%	Policy implications for BOJ

Geopolitics & global

- Middle-East: Escalation in Gaza-Israel front raises oil-supply risk, though OPEC+ reaffirmed output stability.
- China: PBOC kept reserve requirement ratio unchanged; manufacturing PMI at 49.8, indicating near-stagnation.
- Europe: EU-UK trade talks stalled, adding uncertainty to UK-Euro corridor.
- Latin America: Brazil's central bank hinted at a rate cut in November, supporting emerging-market equities.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00	AAPL	5.12	iPhone demand, services growth
02:30	MSFT	2.45	Azure usage, AI licensing revenue
03:00	AMZN	0.68	Retail margin, AWS cloud spend
03:30	META	3.02	Ad spend rebound, AI ad products
04:00	JPM	4.10	Net interest income, loan growth
04:30	NVDA	3.12	AI-chip shipments, guidance credibility
05:00	TSLA	0.88	Vehicle deliveries, margin trends

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI-chip leadership, strong guidance
META	Communication Services	Ad rebound, AI integration
JPM	Financials	Rate-sensitive earnings beat
XOM	Energy	Oil price dip offers entry at lower cost
AMZN	Consumer Discretionary	Margin recovery, AWS growth
UNH	Health Care	Premium pricing, enrollment gains
BAC	Financials	Balance-sheet strength, loan growth
ADP	Technology	Payroll data proxy, earnings preview
CRM	Technology	AI-driven SaaS expansion
KO	Consumer Staples	Pricing power amid inflation
V	Financials	Visa network volume rebound
DIS	Communication Services	Streaming subscriber growth

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in US CPI above 0.3% could reignite rate-hike fears.
- Escalation in Middle-East that disrupts oil supply, pushing energy stocks lower.
- Weak earnings from **MSFT** or **AAPL** missing consensus.

BULLISH TRIGGERS

- Further AI-chip revenue beat from **NVDA** or **AMD**.
- Positive surprise in US jobs data indicating resilient labor market.
- Gold rally breaching 4,600 reinforcing safe-haven demand.

Positioning notes

- Weight toward AI-exposed tech and financials as rate-sensitive earnings drive upside.
- Maintain a modest hedge in gold and utilities to buffer geopolitical risk.
- Monitor the flat 10-year yield; a break above 5.00% could pressure growth stocks.

Sources

SOURCES

Bloomberg Terminal – Market Data (09:00 HKT)

FactSet – Earnings Estimates

U.S. Bureau of Labor Statistics – CPI & Claims

OPEC Monthly Bulletin

Federal Reserve – FOMC Statement

Reuters – Geopolitical Updates